

GREAT COMPANIES THAT GAVE YOU
A SECOND CHANCE IN MARKET BREAKS

BREAK	HIGH	LOW	1987 HIGH
<i>1972-74</i>			
Genuine Parts	\$15	\$ 4	\$ 44 ³ / ₈
General Cinema	3 ¹ / ₂	30 cents	31 ³ / ₄
Teledyne	11	3	390
Abbott Labs	5	17 ⁷ / ₈	67
Bristol-Myers	8	4	55
Cap Cities	34	9	450
Heinz	5 ³ / ₄	3	51 ³ / ₄
McDonald's	15	4	61 ¹ / ₈
Philip Morris	17 ¹ / ₂	8 ¹ / ₂	124 ¹ / ₂
Merck	17	7	74 ¹ / ₄
<i>1976-78 (not as bad)</i>			
GE	15	11	66 ³ / ₈
Marriott	3 ³ / ₄	1 ³ / ₄	44 ³ / ₄
<i>1981-82</i>			
Gannett	15	10	56
John Harland	6 ¹ / ₂	4	30 ³ / ₄
<i>1983-84</i>			
Browning-Ferris	12	6 ¹ / ₂	36
The Limited	10	5	53
Anheuser-Busch	12	9	40
NCR	34	22	87
Waste Management	16	7	48

THE 1987 BREAK

In the sell-off of October, 1987, you had a chance to buy many of the companies I've been mentioning throughout this book. The 1,000-point drop between summer and fall took everything with it, but in the real world all the companies listed below were healthy, profitable, and never missed a beat. Many of them recovered in quick fashion, and I took advantage whenever I could. I missed Dreyfus the first time around, but not this time (fool me once, shame on you; fool me twice, shame on me). Dreyfus was beaten down to \$16 and the company had \$15 in cash after debt, so what was the risk? In addition to the cash, Dreyfus actually profited from the crisis, as many investors switched out of stocks and into money-market funds that Dreyfus manages.